

Andy Constan: Weekly Outlook 20260111

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Speaker Bios

Andy Constan is founder of Damped Spring Advisors. Former head of macro at Brevan Howard. Known for cross-asset systematic frameworks, volatility analysis, and institutional positioning insights.

Chibi is co-host of Damped Spring weekly outlook. Technical analyst covering equity indices, rates, and commodities.

Executive Summary

Trump's two rate initiatives—**10% credit card cap** and **\$200B Fannie/Freddie mortgage buying**—signal affordability thrust targeting banks. Mortgage spreads dropped 15-18bps as expected (headline rate to 5.99%), but real impact is **house prices bid up, not affordability improved**. Fannie/Freddie can add \$200B to balance sheet but historically run matched books—paying swaps, buying swaption convexity. If they run naked duration instead, that's **private-sector QE** removing duration from market. Swap spreads at least-negative levels consistent with Fannie becoming payers. Credit card cap (no legal authority) would cut bank profitability → reduced credit → consumption hit. **Short banks** into earnings—affordability thrust puts them center of target.

Curve flattening Friday was positioning squeeze, not trend break. Twos sold off 9bps, 10s30s flattened 5bps—first 10s30s move in stable segment. Overloaded boat on steepeners/weak dollar got squeezed on SCOTUS delay + Trump mortgage comments. Andy wrong on long twos/STIR so far—terminal rate now 3.16-3.17% (two cuts). But Trump Fed (Myran at 2.125% dot) hasn't backed off dovish stance despite extolling 5% GDP. Watch Myran's comments—administration mouthpiece.

Gold/silver constructive near all-time highs but Andy interested in shorting gold on rips—RMOs end April, DS Protect has crushed it. Oil held 56, bounced to 59—technical damage to upside. Admin wants 55-65 band (\$2.75-3.00 gasoline). No fundamental “why” for Friday's bounce—backdoor deals suspected. **Equity vol and bond vol dirt cheap**—must own puts whether hedging or alpha. Calls also cheap. JHEQX collar levels: buy at 10 (cost butterfly 2.5pts below market) and at 2 (put butterfly).

PM implication: Short banks into earnings—affordability thrust makes them target. Long twos/STIR as scale trade (35% risk deployed). Short 10Y via puts. Long yen at 159.5. Sell gold on rips. Buy oil below 56 only. Add Europe/Japan risk parity—non-US attractive. Vol is cheap both ways—own equity puts, bond puts, and cheap calls as insurance.

Listen or Skip?

Verdict: Must-listen—institutional positioning + Trump policy transmission mechanics

Aspect	Rating
Signal density	★★★★★
Actionability	★★★★★
Novel insights	★★★★☆
Production quality	★★★★☆

Best for: Rates traders, macro PMs, vol traders **Skip if:** Equity-only mandate, no derivatives access

Key Quotes

1. *"The affordability thrust of the Trump administration has the banks right in their center of their target. I don't think you want to own banks in that environment, so I'm looking to short them."*
2. *"It does lower the mortgage cost, but it really just increases the price of houses. So you're not going to see affordability—you're only going to see the mortgage rate coming down."*
3. *"If they run a duration trade and try to ride the curve, it would have the impact of removing duration from the market and be bullish term premiums. It's forced QE done by a private entity."*
4. *"Equity puts, bond puts are just dirt cheap. You just have to own them, whether you're hedging, whether you're doing it for alpha. You just gotta own these things."*
5. *"I look at Myran as the mouthpiece. He's a two and an eighth Fed funds on his last dot plot. And he hasn't changed that tune at all. That's to me the administration's point of view."*
6. *"It feels like there's backdoor deals being made right now that we're not aware of, because the charts are moving so inversely to the fundamentals."*
7. *"The curve flattening Friday was positioning—overloaded boat on steepeners, weak dollar, everyone's nuts got squeezed. I'm not sure we've seen a major trend break, just minor retraces within a broader trend."*
8. *"Gold and silver look constructive, they could trade higher. But I'm interested in getting short gold. I sold my out-of-the-money gold calls at a profit."*

1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	Cautious Equities / Bullish Front-End Rates / Short Banks
Conviction	High (short banks) / Medium (rates positioning)
Time Horizon	Tactical (1-4 weeks) earnings + SCOTUS
Primary Domain(s)	Rates Equities Vol FX
Why Now?	Bank earnings Tuesday; SCOTUS possible Wednesday; Trump affordability targeting banks; vol dirt cheap

Top 3 Investable Ideas:

1. **Short banks into earnings** — Affordability thrust (credit card cap, mortgage buying) makes banks center of target; blow-off tops into good earnings = fade
2. **Long twos/STIR, short 10Y puts** — Scale into steepener; terminal rate 3.16% but Trump Fed (Myran 2.125%) hasn't backed off; curve squeeze was positioning not trend break
3. **Own vol—equity puts, bond puts, cheap calls** — Dirt cheap both ways; JHEQX collar levels for March 31 expiry; must own regardless of direction

2) Key Investable Insights

Insight 1: Short Banks—Affordability Thrust Target

- **Claim:** Trump's credit card cap + Fannie/Freddie mortgage buying signals banks are center of affordability target; don't own them
- **Asset Class:** US Equities (Financials)
- **Mechanism:** 10% credit card cap (no legal authority) cuts profitability → reduced credit or higher fees; \$200B mortgage buying lowers rates but bids up houses; deregulation offset by affordability pressure
- **Expression:** Short KBW, BKX; fade bank earnings rally; possible DS Alpha sector trade

- **Trigger to Exit/Flip:** Affordability thrust abandoned; banks rally through earnings with guidance improvement
- **Confidence:** High

Insight 2: Curve Squeeze—Position Not Trend

- **Claim:** Friday's flattening (twos +9bps, 10s30s -5bps) was positioning squeeze on overloaded steepener/weak dollar boat, not trend break
- **Asset Class:** Rates
- **Mechanism:** SCOTUS delay + Trump mortgage comments squeezed weak hands; broader trend still steepeners/weak dollar; Trump Fed (Myran 2.125%) hasn't changed tune despite 5% GDP boasts
- **Expression:** Scale into long twos, SOFR; short 10Y puts; terminal rate 3.16% vs Myran 2.125% = upside
- **Trigger to Exit/Flip:** Myran changes dot plot; Trump Fed backs off cuts; CPI beats to upside
- **Confidence:** Medium

Insight 3: Vol Dirt Cheap—Must Own

- **Claim:** Equity puts and bond puts are dirt cheap; calls also cheap; must own regardless of hedging or alpha intent
- **Asset Class:** Vol/Derivatives
- **Mechanism:** Vol compression as equities drift higher; JHEQX collar levels approaching (10 on cost butterfly, 2 on put butterfly = March 31 buys)
- **Expression:** Own equity puts; own bond puts; own cheap OTM calls (700 QQQ); scale into puts on rallies, calls on dips
- **Trigger to Exit/Flip:** Vol spikes; collar levels hit
- **Confidence:** High

Insight 4: Gold Short Setup—Silver/Copper Constructive

- **Claim:** Gold near ATH but interested in shorting on rips; silver/copper constructive and could be problematic for economy
- **Asset Class:** Commodities
- **Mechanism:** RMOs end April; DS Protect (TIPS, stocks, gold) has crushed it—time to sell into strength; silver/copper momentum could hit sensitive areas
- **Expression:** Lower gold weight; sell gold calls; keep commodities beta higher; long silver/copper technically
- **Trigger to Exit/Flip:** Gold breaks to new highs with momentum; silver/copper breakdown
- **Confidence:** Medium

3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/Flows
Trump affordability thrust	Banks targeted, mortgage spreads down	House prices bid up, credit cut	Banks-rates correlation	Fannie/Freddie balance sheet	Short banks thesis
Fannie/Freddie \$200B	Swap spreads least-negative	Duration removed if unhedged	Swaps-MBS correlation	Possible private-sector QE	Watch if matched book or not
SCOTUS delay	Curve positioning squeeze	Steepeners weak hands shaken	Rates-tariff correlation	N/A	Overloaded boat squeezed
Trump Fed dovish	Front-end supported	Steepeners favored long-term	Fed-rates correlation	Terminal 3.16% vs Myran 2.125%	Scale into twos/STIR
Vol compression	Puts/calls cheap	Must own for hedging/alpha	Vol-equity correlation	N/A	JHEQX collar approaching

4) Regime & Scenario Analysis

- **Current Regime Fit:** Late-cycle drift higher with compressed vol. Data quality terrible. Earnings to be fine. Banks blow-off into affordability targeting. Positioning squeeze on steepeners/weak dollar—trend intact.

- **Base Case (50%):** CPI beats to downside (calculation quirk). Bank earnings fine but fade the rally. SCOTUS delays further or rules legal (bonds rally). Curve resumes steepening. Vol stays cheap until catalyst.
 - **Alt Case 1 (30%):** SCOTUS rules tariffs illegal—long-end rallies, equities uncertain (Trump may increase tariffs anyway). Banks underperform on affordability thrust. Gold breaks down.
 - **Alt Case 2 (20%):** Trump Fed backs off cuts—curve flattens materially. Banks rally on deregulation hope. Steeper thesis fails.
 - **Anti-Thesis Trigger:** Myran changes dot plot. CPI beats to upside. Banks guide higher on deregulation. SCOTUS rules tariffs legal and equities rally.
 - **Tail Risks:** Iran escalation. SCOTUS shock ruling. Credit card cap implementation. Oil spike above 65.
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5) Hard Data & Verifiable Claims

- **Data:** Mortgage headline rate ticked to 5.99% (down 15-18bps)
 - **Data:** Terminal rate priced at 3.16-3.17% (two cuts)
 - **Data:** Twos sold off 9bps Friday; 10s30s flattened 5bps
 - **Data:** Myran dot plot: 2.125% Fed funds
 - **Data:** Bessent target: 2.5-3.25% rates
 - **Data:** Fannie/Freddie can add \$200B to balance sheet
 - **Data:** Cocoa down 12% (commodity rebalance)
 - **Data:** Oil held 56, bounced to 59
 - **Data:** Trump admin comfortable with 55-65 oil band (\$2.75-3.00 gasoline)
 - **Data:** JHEQX collar: buy at 10 (cost butterfly), buy at 2 (put butterfly) for March 31
 - **Data:** 700 QQQ calls = 10% OTM
 - **Data:** Andy 35% risk deployed in alpha
 - **Claim:** Fannie historically runs matched book (pays swaps, buys swaption convexity)
 - **Claim:** Trump has no legal authority for 10% credit card cap
 - **Claim:** Swap spreads at least-negative levels consistent with Fannie becoming payers
 - **Claim:** Data quality terrible right now (pharma import-export, gold bullion distortions)
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6) BS & Bias Filter

- **Incentives:** Runs Damped Spring subscription; long twos/STIR and wrong so far—talking his book on scale trade. Short banks thesis new.
 - **Blind Spots:** Limited equity single-name analysis. Iran uncertainty acknowledged (“don’t know shit”). SCOTUS timing unknown.
 - **Track Record:** Admitted wrong on twos/STIR so far. Didn’t buy oil dip at 56 (Chibi capitulated at literal low). Gold calls sold at profit.
 - **Consensus Check:** Short banks = contrarian to deregulation narrative. Curve squeeze = contrarian to flattening fear. Vol cheap = consensus.
 - **Sample Bias:** Rates/vol focus. Limited credit analysis. US-centric despite Europe/Japan mention.
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7) PM Bottom Line

Action → Trade + Monitor

Short banks into earnings—affordability thrust puts them in crosshairs regardless of deregulation narrative. Scale into long twos/SOFR, short 10Y puts—curve squeeze was positioning, not trend break; Myran 2.125% vs market 3.16% = upside. Must own vol—equity puts, bond puts dirt cheap; calls also cheap as insurance. Sell gold on rips (RMOs end April). Buy oil only below 56. Add Europe/Japan risk parity—non-US basket attractive. Watch SCOTUS Wednesday for tariff ruling—if illegal, bonds rally hard.

Key watches: Bank earnings Tuesday (JPM, C, WFC, BAC). CPI (should beat to downside on calculation). SCOTUS Wednesday (possible). Myran comments. 10s30s flattening continuation. Oil 55-65 band. Gold ATH break or fail.